

The Board of Directors of I&M Group PLC is pleased to announce audited results of the Group as at 31 December 2022

|                                 |                                                                 | COMPANY                           |                                   | GROUP                             |                                   |
|---------------------------------|-----------------------------------------------------------------|-----------------------------------|-----------------------------------|-----------------------------------|-----------------------------------|
| STATEMENT OF FINANCIAL POSITION |                                                                 | AUDITED<br>DEC 2021<br>(KSHS'000) | AUDITED<br>DEC 2022<br>(KSHS'000) | AUDITED<br>DEC 2021<br>(KSHS'000) | AUDITED<br>DEC 2022<br>(KSHS'000) |
| A                               | ASSETS                                                          |                                   |                                   |                                   |                                   |
| 01                              | Cash (both local and foreign)                                   | 834,431                           | 864,255                           | 6,202,636                         | 5,186,177                         |
| 02                              | Balances due from central banks                                 | -                                 | -                                 | 21,343,955                        | 17,632,125                        |
| 03                              | Kenya Government and other securities held for dealing purposes | -                                 | -                                 | -                                 | -                                 |
| 04                              | Financial Assets at fair value through profit or loss (FVTPL)   | -                                 | -                                 | 16,368,165                        | 16,402,892                        |
| 05                              | Investment Securities:                                          | -                                 | -                                 | -                                 | -                                 |
|                                 | a) Held at amortised cost:                                      | -                                 | -                                 | -                                 | -                                 |
|                                 | a. Kenya Government securities                                  | -                                 | -                                 | 30,605,205                        | 22,655,837                        |
|                                 | b. Other securities                                             | -                                 | -                                 | 14,551,505                        | 21,062,484                        |
|                                 | b) Fair value through other comprehensive income (FVOCI):       | -                                 | -                                 | -                                 | -                                 |
|                                 | a. Kenya Government securities                                  | 27,019                            | 925,055                           | 57,101,222                        | 45,465,083                        |
|                                 | b. Other securities                                             | -                                 | -                                 | 6,909,050                         | 7,526,065                         |
| 06                              | Deposits and Balances due from local banking institutions       | -                                 | -                                 | 62,774                            | 3,211,983                         |
| 07                              | Deposits and Balances due from banking institutions abroad      | -                                 | -                                 | 15,455,050                        | 18,255,199                        |
| 08                              | Tax recoverable                                                 | 3,463                             | 7,695                             | 459,760                           | 236,823                           |
| 09                              | Loans and advances to customers (net)                           | -                                 | -                                 | 210,619,661                       | 238,590,143                       |
| 10                              | Balances due from banking institutions in the Group             | -                                 | -                                 | -                                 | -                                 |
| 11                              | Investment in associates                                        | -                                 | -                                 | -                                 | -                                 |
| 12                              | Investment in subsidiary companies                              | 30,435,895                        | 31,336,158                        | -                                 | -                                 |
| 13                              | Investment in joint ventures                                    | 2,515,591                         | 2,515,591                         | 5,226,107                         | 5,570,240                         |
| 14                              | Investment properties                                           | -                                 | -                                 | -                                 | -                                 |
| 15                              | Property and equipment                                          | -                                 | -                                 | 12,883,629                        | 12,514,594                        |
| 16                              | Prepaid lease rentals                                           | -                                 | -                                 | -                                 | -                                 |
| 17                              | Intangible assets                                               | -                                 | -                                 | 6,579,059                         | 6,885,544                         |
| 18                              | Deferred tax asset                                              | -                                 | -                                 | 6,104,185                         | 8,678,146                         |
| 19                              | Retirement benefit asset                                        | -                                 | -                                 | -                                 | -                                 |
| 20                              | Other assets                                                    | 229,786                           | 80,927                            | 4,708,714                         | 6,726,311                         |
| 21                              | TOTAL ASSETS                                                    | 34,046,185                        | 35,729,681                        | 415,151,367                       | 436,599,646                       |
| B                               | LIABILITIES                                                     |                                   |                                   |                                   |                                   |
| 22                              | Balances due to central banks                                   | -                                 | -                                 | -                                 | -                                 |
| 23                              | Customer deposits                                               | -                                 | -                                 | 296,746,509                       | 312,335,932                       |
| 24                              | Deposits and balances due to local banking institutions         | -                                 | -                                 | 2,854,277                         | 6,803,763                         |
| 25                              | Deposits and balances due to foreign banking institutions       | -                                 | -                                 | 16,260,030                        | 11,349,566                        |
| 26                              | Other money market deposits                                     | -                                 | -                                 | -                                 | -                                 |
| 27                              | Borrowed funds                                                  | -                                 | -                                 | 19,546,073                        | 16,794,713                        |
| 28                              | Balances due to banking institutions in the Group               | -                                 | -                                 | -                                 | -                                 |
| 29                              | Tax payable                                                     | -                                 | -                                 | -                                 | -                                 |
| 30                              | Dividends payable                                               | -                                 | -                                 | -                                 | -                                 |
| 31                              | Deferred tax liability                                          | -                                 | -                                 | -                                 | -                                 |
| 32                              | Retirement benefit liability                                    | -                                 | -                                 | -                                 | -                                 |
| 33                              | Other liabilities                                               | 2,029,063                         | 91,448                            | 5,696,401                         | 7,666,084                         |
| 34                              | TOTAL LIABILITIES                                               | 2,029,063                         | 91,448                            | 341,103,290                       | 354,950,058                       |
| C                               | SHAREHOLDERS' EQUITY                                            |                                   |                                   |                                   |                                   |
| 35                              | Paid up/Assigned share capital                                  | 1,653,621                         | 1,653,621                         | 1,653,621                         | 1,653,621                         |
| 36                              | Share premium/(discount)                                        | 17,561,629                        | 17,561,629                        | 17,561,629                        | 17,561,629                        |
| 37                              | Revaluation reserves - (Buildings)                              | -                                 | -                                 | 1,036,048                         | 1,154,325                         |
| 38                              | Retained earnings/(Accumulated losses)                          | 12,802,385                        | 16,464,597                        | 43,903,009                        | 53,674,183                        |
| 39                              | Statutory loan loss reserves                                    | -                                 | -                                 | 8,051,567                         | 6,993,268                         |
| 40                              | Other reserves                                                  | (513)                             | (41,614)                          | (856,084)                         | (3,873,628)                       |
| 41                              | Proposed dividends                                              | -                                 | -                                 | -                                 | -                                 |
| 42                              | Translation reserve                                             | -                                 | -                                 | (1,756,759)                       | (645,903)                         |
| 43                              | TOTAL SHAREHOLDERS' EQUITY                                      | 32,017,122                        | 35,638,233                        | 69,593,031                        | 76,517,495                        |
| 44                              | Non controlling interest                                        | -                                 | -                                 | 4,455,046                         | 5,132,093                         |
| 45                              | TOTAL LIABILITIES & SHAREHOLDERS' EQUITY                        | 34,046,185                        | 35,729,681                        | 415,151,367                       | 436,599,646                       |

|                   |                                                        | GROUP                             |                                   |
|-------------------|--------------------------------------------------------|-----------------------------------|-----------------------------------|
| OTHER DISCLOSURES |                                                        | AUDITED<br>DEC 2021<br>(KSHS'000) | AUDITED<br>DEC 2022<br>(KSHS'000) |
| 01.               | NON-PERFORMING LOANS AND ADVANCES                      |                                   |                                   |
|                   | a) Gross Non- performing loans and advances            | 21,448,072                        | 24,966,154                        |
|                   | Less                                                   |                                   |                                   |
|                   | b) Interest in suspense                                | 3,677,075                         | 4,268,439                         |
|                   | c) Total Non- performing loans and advances (a-b)      | 17,770,997                        | 20,697,715                        |
|                   | Less                                                   |                                   |                                   |
|                   | d) Loan loss provisions                                | 11,640,501                        | 13,690,454                        |
|                   | e) Net Non Performing Loans(c-d)                       | 6,130,496                         | 7,007,261                         |
|                   | f) Discounted value of securities                      | 6,130,496                         | 7,007,261                         |
|                   | g) Net NPLs exposure (e-f)                             | -                                 | -                                 |
| 02.               | INSIDER LOANS AND ADVANCES                             |                                   |                                   |
|                   | a) Directors, shareholders and associates              | 4,673,365                         | 2,876,868                         |
|                   | b) Employees                                           | 2,498,739                         | 2,788,888                         |
|                   | c) Total Insider Loans and Advances                    | 7,172,104                         | 5,665,756                         |
| 03.               | OFF- BALANCE SHEET ITEMS                               |                                   |                                   |
|                   | a) Letters of credit, guarantees, acceptances          | 67,686,750                        | 72,390,417                        |
|                   | b) Forwards, swaps and options                         | 21,704,283                        | 42,105,420                        |
|                   | c) Other contingent liabilities                        | 4,068,916                         | 4,949,387                         |
|                   | d) Total Contingent liabilities                        | 93,459,949                        | 119,445,224                       |
| 04.               | CAPITAL STRENGTH                                       |                                   |                                   |
|                   | a) Core capital                                        | 62,133,314                        | 70,667,086                        |
|                   | b) Minimum statutory capital                           | 1,000,000                         | 1,000,000                         |
|                   | c) Excess/ (deficiency)                                | 61,133,314                        | 69,667,086                        |
|                   | d) Supplementary capital                               | 18,339,954                        | 18,313,434                        |
|                   | e) Total capital (a+d)                                 | 80,473,268                        | 88,980,520                        |
|                   | f) Total risk weighted assets                          | 375,078,849                       | 433,713,270                       |
|                   | g) Core capital/Total deposit liabilities              | 20.94%                            | 22.63%                            |
|                   | h) Minimum statutory ratio                             | 8.00%                             | 8.00%                             |
|                   | i) Excess /(Deficiency) (g-h)                          | 12.94%                            | 14.63%                            |
|                   | j) Core capital/Total risk weighted assets             | 16.57%                            | 16.29%                            |
|                   | k) Minimum statutory ratio                             | 10.50%                            | 10.50%                            |
|                   | l) Excess /(Deficiency) (j-k)                          | 6.07%                             | 5.79%                             |
|                   | m) Total capital/Total risk weighted assets            | 21.46%                            | 20.52%                            |
|                   | n) Minimum statutory ratio                             | 14.50%                            | 14.50%                            |
|                   | o) Excess /(Deficiency) (m-n)                          | 6.96%                             | 6.02%                             |
|                   | (p) Adjusted Core Capital/Total Deposit Liabilities*   | 20.98%                            | 22.64%                            |
|                   | (q) Adjusted Core Capital/Total Risk Weighted Assets*  | 16.60%                            | 16.31%                            |
|                   | (r) Adjusted Total Capital/Total Risk Weighted Assets* | 21.49%                            | 20.53%                            |
| 05.               | LIQUIDITY                                              |                                   |                                   |
|                   | a) Liquidity ratio                                     | 52.26%                            | 46.13%                            |
|                   | b) Minimum statutory ratio                             | 20.00%                            | 20.00%                            |
|                   | c) Excess /(Deficiency) (a-b)                          | 32.26%                            | 26.13%                            |

\*The adjusted capital ratios include the expected credit loss provisions added back to capital in line with the CBK Guidance Note issued in April 2018 on implementation of IFRS 9.

|                                   |                                                                                     | COMPANY                           |                                   | GROUP                             |                                   |
|-----------------------------------|-------------------------------------------------------------------------------------|-----------------------------------|-----------------------------------|-----------------------------------|-----------------------------------|
| STATEMENT OF COMPREHENSIVE INCOME |                                                                                     | AUDITED<br>DEC 2021<br>(KSHS'000) | AUDITED<br>DEC 2022<br>(KSHS'000) | AUDITED<br>DEC 2021<br>(KSHS'000) | AUDITED<br>DEC 2022<br>(KSHS'000) |
| 01.                               | INTEREST INCOME                                                                     |                                   |                                   |                                   |                                   |
|                                   | 1.1 Loans and advances                                                              | -                                 | -                                 | 23,769,022                        | 26,259,209                        |
|                                   | 1.2 Government securities                                                           | 3,028                             | 86,040                            | 9,070,237                         | 10,477,135                        |
|                                   | 1.3 Deposits and placements with banking institutions                               | 33,963                            | 33,356                            | 231,501                           | 569,978                           |
|                                   | 1.4 Other interest income                                                           | -                                 | -                                 | 10,708                            | 44,875                            |
|                                   | 1.5 Total interest income                                                           | 36,991                            | 119,396                           | 33,081,468                        | 37,351,197                        |
| 02.                               | INTEREST EXPENSE                                                                    |                                   |                                   |                                   |                                   |
|                                   | 2.1 Customer deposits                                                               | -                                 | -                                 | 10,256,364                        | 11,597,717                        |
|                                   | 2.2 Deposits and placements from banking institutions                               | -                                 | -                                 | 961,451                           | 1,430,228                         |
|                                   | 2.3 Other interest expenses                                                         | -                                 | -                                 | 986,759                           | 1,378,731                         |
|                                   | 2.4 Total interest expense                                                          | -                                 | -                                 | 12,204,574                        | 14,406,676                        |
| 03.                               | NET INTEREST INCOME/ (LOSS)                                                         | 36,991                            | 119,396                           | 20,876,894                        | 22,944,521                        |
| 04.                               | OTHER OPERATING INCOME                                                              |                                   |                                   |                                   |                                   |
|                                   | 4.1 Fees and commissions on loans and advances                                      | -                                 | -                                 | 1,938,483                         | 2,185,691                         |
|                                   | 4.2 Other fees and commissions                                                      | -                                 | -                                 | 2,937,743                         | 3,700,780                         |
|                                   | 4.3 Foreign exchange trading income/(loss)                                          | -                                 | -                                 | 1,732,746                         | 5,042,627                         |
|                                   | 4.4 Dividend income                                                                 | 6,778,527                         | 6,073,676                         | -                                 | -                                 |
|                                   | 4.5 Other income                                                                    | 2,817                             | 10,768                            | 2,126,648                         | 1,794,453                         |
|                                   | 4.6 Total non-interest income                                                       | 6,781,344                         | 6,084,444                         | 8,735,620                         | 12,723,551                        |
| 05.                               | TOTAL OPERATING INCOME                                                              | 6,818,335                         | 6,203,840                         | 29,612,514                        | 35,668,072                        |
| 06.                               | OTHER OPERATING EXPENSES                                                            |                                   |                                   |                                   |                                   |
|                                   | 6.1 Loan loss provisions                                                            | -                                 | -                                 | 4,199,601                         | 5,245,020                         |
|                                   | 6.2 Staff costs                                                                     | -                                 | -                                 | 5,896,892                         | 6,472,873                         |
|                                   | 6.3 Directors' emoluments                                                           | -                                 | -                                 | 105,021                           | 114,322                           |
|                                   | 6.4 Rentals charges                                                                 | -                                 | -                                 | 568,098                           | 716,283                           |
|                                   | 6.5 Depreciation charge on property and equipment                                   | -                                 | -                                 | 1,320,783                         | 1,597,298                         |
|                                   | 6.6 Amortisation charges                                                            | -                                 | -                                 | 702,187                           | 873,728                           |
|                                   | 6.7 Other operating expenses                                                        | 114,249                           | 54,121                            | 4,955,916                         | 6,318,366                         |
|                                   | 6.8 Total other Operating Expenses                                                  | 114,249                           | 54,121                            | 17,748,498                        | 21,337,890                        |
| 07.                               | PROFIT/ (LOSS) BEFORE TAX AND EXCEPTIONAL ITEMS                                     | 6,704,086                         | 6,149,719                         | 11,864,016                        | 14,330,182                        |
| 08.                               | Share of profit of joint venture                                                    | -                                 | -                                 | 548,890                           | 662,150                           |
| 09.                               | PROFIT/(LOSS ) AFTER EXCEPTIONAL ITEMS                                              | 6,704,086                         | 6,149,719                         | 12,412,906                        | 14,992,332                        |
| 10.                               | Current tax                                                                         | (8,118)                           | (7,075)                           | (3,883,574)                       | (4,642,909)                       |
| 11.                               | Deferred tax                                                                        | -                                 | -                                 | 94,604                            | 1,234,275                         |
| 12.                               | PROFIT/ (LOSS) AFTER TAX AND EXCEPTIONAL ITEMS                                      | 6,695,968                         | 6,142,644                         | 8,623,936                         | 11,583,698                        |
| 13.                               | Non controlling interest                                                            | -                                 | -                                 | (493,194)                         | (390,209)                         |
| 14.                               | PROFIT/ (LOSS ) AFTER TAX, EXCEPTIONAL ITEMS AND NON-CONTROLLING INTEREST           | 6,695,968                         | 6,142,644                         | 8,130,742                         | 11,193,489                        |
| 15.                               | OTHER COMPREHENSIVE INCOME                                                          |                                   |                                   |                                   |                                   |
|                                   | 15.1 Gains/(Losses) from translating the financial statements of foreign operations | -                                 | -                                 | (515,333)                         | 1,365,147                         |
|                                   | 15.2 Fair value changes in financial assets at FVOCI                                | (1,275)                           | (41,101)                          | (752,181)                         | (3,007,013)                       |
|                                   | 15.3 Statutory loan loss reserve                                                    | -                                 | -                                 | -                                 | -                                 |
|                                   | 15.4 Fair value changes on employee benefits                                        | -                                 | -                                 | 35,022                            | (20,526)                          |
|                                   | 15.5 Income tax relating to components of other comprehensive income                | -                                 | -                                 | 111,898                           | 120,230                           |
| 16.                               | OTHER COMPREHENSIVE INCOME FOR THE YEAR NET OF TAX                                  | (1,275)                           | (41,101)                          | (1,120,594)                       | (1,542,162)                       |
| 17.                               | TOTAL COMPREHENSIVE INCOME FOR THE YEAR                                             | 6,694,693                         | 6,101,543                         | 7,503,342                         | 10,041,536                        |
| 18.                               | EARNING PER SHARE - DILUTE & BASIC (KSHS)                                           | 4.05                              | 3.71                              | 4.92                              | 6.77                              |
| 19.                               | DIVIDEND PER SHARE - PROPOSED (KSHS)                                                | 1.50                              | 2.25                              | 1.50                              | 2.25                              |

|                                                          |  | COMPANY                           |                                   | GROUP                             |                                   |
|----------------------------------------------------------|--|-----------------------------------|-----------------------------------|-----------------------------------|-----------------------------------|
| SUMMARY OF CONSOLIDATED STATEMENT OF CASH FLOWS          |  | AUDITED<br>DEC 2021<br>(KSHS'000) | AUDITED<br>DEC 2022<br>(KSHS'000) | AUDITED<br>DEC 2021<br>(KSHS'000) | AUDITED<br>DEC 2022<br>(KSHS'000) |
| Net cash generated from / (used in) operating activities |  | 6,534,777                         | 3,410,519                         | (14,406,479)                      | 2,943,827                         |
| Cash flows used in investing activities                  |  | (4,284,013)                       | (900,263)                         | 138,984                           | (1,814,953)                       |
| Net cash used in financing activities                    |  | (1,862,392)                       | (2,480,432)                       | 3,456,805                         | (1,600,044)                       |
| Net increase / (decrease) in cash and cash equivalents   |  | 388,372                           | 29,824                            | (10,810,690)                      | (471,170)                         |
| Cash and cash equivalents at beginning of period         |  | 446,059                           | 834,431                           | 21,472,404                        | 10,661,714                        |
| Cash and cash equivalents at end of period               |  | 834,431                           | 864,255                           | 10,661,714                        | 10,190,544                        |

| SUMMARY OF CONSOLIDATED STATEMENT OF CHANGES IN EQUITY | SHARE<br>CAPITAL<br>(KSHS'000) | SHARE<br>PREMIUM<br>(KSHS'000) | RETAINED<br>EARNINGS<br>(KSHS'000) | OTHER<br>RESERVES<br>(KSHS'000) | NON<br>CONTROLLING<br>INTEREST<br>(KSHS'000) | TOTAL<br>(KSHS'000) |
|--------------------------------------------------------|--------------------------------|--------------------------------|------------------------------------|---------------------------------|----------------------------------------------|---------------------|
| At 1 January 2021                                      | 826,811                        | 18,390,507                     | 39,610,553                         | 5,361,472                       | 3,873,796                                    | 68,063,139          |
| Other comprehensive income                             | -                              | -                              | 5,963,553                          | 1,047,899                       | 491,890                                      | 7,503,342           |
| Transactions with owners                               | 826,810                        | (828,878)                      | (1,671,097)                        | 65,401                          | 89,360                                       | (1,518,404)         |
| Audited at 31 December 2021                            | 1,653,621                      | 17,561,629                     | 43,903,009                         | 6,474,772                       | 4,455,046                                    | 74,048,077          |
| At 1 January 2022                                      | 1,653,621                      | 17,561,629                     | 43,903,009                         | 6,474,772                       | 4,455,046                                    | 74,048,077          |
| Other comprehensive income                             | -                              | -                              | 12,253,374                         | (2,846,710)                     | 634,872                                      | 10,041,536          |
| Transactions with owners                               | -                              | -                              | (2,482,200)                        | -                               | 42,175                                       | (2,440,025)         |
| Audited at 31 December 2022                            | 1,653,621                      | 17,561,629                     | 53,674,183                         | 3,628,062                       | 5,132,093                                    | 81,649,588          |

### MESSAGE FROM THE DIRECTORS

#### Basis of Preparation

These financial statements are an extract from audited financial statements for the period ended 31 December 2022 which have been prepared in accordance with International Financial Reporting Standards (IFRSs) and Kenyan Company Act, 2015. The principal risks and uncertainties facing the Group and Company as well as the risk management framework are outlined in Note 5 of the consolidated and separate financial statements.

The financial statements were audited by KPMG Kenya and received an unqualified opinion. The financial statements were approved by the Board of Directors on 28 March 2023 and were signed by Messrs Daniel Ndonye, Sarit S. Raja Shah and Sachit S. Raja Shah.

#### Dividend

The Directors recommend payment of a first and final dividend of KShs. 2.25 per share amounting to KShs. 3,720,648,321 for the year ended 31 December 2022. A dividend of KShs. 1.50 per share amounting to KShs. 2,480,432,214 in respect of the year ended 31 December 2021 was paid on the 26 May 2022.

The dividend will be payable to shareholders registered on the Company's Register at the close of business on Thursday 20 April 2023 and will be paid on or around Thursday, 25 May 2023. The Register of Members will be closed from Friday, 21 April 2023 to Monday, 24 April 2023 (both days inclusive) for the purpose of processing the dividend.

The complete set of financial statements can be accessed from the institution's website [www.imbankgroup.com](http://www.imbankgroup.com).

BY ORDER  
OF THE BOARD } DANIEL NDONYE  
CHAIRMAN  
28 March 2023

